

sales and marketing, a bad work culture, mis-selling to parents who couldn't afford the offerings, non-filing of audited accounts even 18 months after year-end are external manifestations, and the board did not even try to change these practices," he says.

Neither Byju's nor its investors responded to a detailed questionnaire from *BT* for this story.

For Byju's, which continues to burn cash on operations, equity capital was not enough to fund the acquisitions. So, it headed to the US market, which has providers of the large structured debt that it needed. In November 2021, it landed a massive \$1.2-billion Term Loan B or TLB (which involves nominal repayment of the principal over its term and full repayment at the end) from a consortium of US-based creditors. As late as May 2023, it announced a \$250-million fundraising from New York-based investment manager Davidson Kempner Capital Management.

That \$1.2-billion TLB has returned to bite Byju's.

In June 2023, Byju's missed a \$40-million loan repayment and filed a lawsuit against its lenders, countering their legal action. Byju's accused them of using predatory tactics. People in the know say the TLB lenders are looking for interest rate of 10-11 per cent (up from the original 6.78 per cent yield-to-maturity rate). That means Byju's must set aside \$100-120 million from its cash flow each year to meet the new terms.

Anirudh A. Damani, Managing Partner at Artha Venture Fund, says it is not wise to use debt for anything other than short-term working capital. "Most acquisitions don't work because they are not done for pure business reasons. When you are acquiring a company, you need to ensure that the core business is generating enough cash to deal with the pressures of the acquisition. You may use debt to acquire an asset or some inventory to sell, but don't use debt for purposes in which you are going to raise venture capital to pay off the debt," he says.

THE AAKASH AFFAIR

Then there is Aakash, which offers students test preparatory coaching services for competitive exams. Byju's acquired Aakash in April 2021 for about \$1 billion (see chart *Binge Remorse*). Aakash is in a legal tangle today, but more on that later. Can Byju's raise some money from Aakash, the only gem in its empire?

Meena says it will take a lot for investors to deal with the issues around the Aakash litigation, which could cut valuations. "Convincing them to walk into this situation will not be easy. Byju's will easily need to raise \$1-1.5 billion over the next 6-12 months to meet current cash flows."



ANIRUDH A. DAMANI
MANAGING PARTNER,
ARTHA VENTURE FUND

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SHRIRAM SUBRAMANIAN
FOUNDER AND MD, INGVERN

"BYJU'S WAS ONLY AFTER GROWTH AND VALUATIONS... AGGRESSIVE SALES AND MARKETING, A BAD WORK CULTURE, MIS-SELLING... ARE MANIFESTATIONS, AND THE BOARD DIDN'T EVEN TRY TO CHANGE THESE PRACTICES"

Davidson Kempner's loan was a structured credit transaction tied to the shareholding and future cash flows of Aakash. The Blackstone Group, the private equity giant, and the Chaudhry family, minority stakeholders in Aakash, hold 30 per cent of Aakash. Byju's has 43 per cent, while Raveendran has 27 per cent. Davidson Kempner is reviewing its loan proposition and has disbursed only a portion of the original amount. It also accused Byju's of breaching some of the loan covenants.